



Our ref: IM-72785

9 December 2024

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Dear Interested Party

Request for submissions: DP World Australia Limited's proposed acquisition of Silk Logistics Holdings Limited

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Silk Logistics Holdings Limited (**Silk**) by DP World Australia Limited (**DP World Australia**) (the **Proposed Acquisition**).

DP World Australia provides stevedoring services and operates a container terminal at each of the Ports of Melbourne, Botany (Sydney), Brisbane and Fremantle (together, the **Relevant Ports**).

Silk (ASX:SLH) is a port-to-door service provider that offers port logistics and contract logistics services in New South Wales, Victoria, Queensland, South Australia and Western Australia.

Further details regarding the Proposed Acquisition and the parties are provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition. In particular, we are seeking your views on:

- the extent to which a combined DP World Australia/Silk would have the ability and incentive to favour its own port logistics services and/or limit rival suppliers' (such as landside transport operators or port logistics services providers) ability to provide a competitive offering at any of the Relevant Ports, and
- whether the Proposed Acquisition would result in a loss of competition at any level of the container supply chain.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on **Monday 23 December 2024** via email to mergers@accc.gov.au with the title: *Submission re: DP World Australia - Silk*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

DP World Australia

DP World Australia is an indirect subsidiary of DP World Limited (**DP World**), Corsair Infrastructure Partners and Caisse de dépôt et placement du Québec (**CDPQ**). DP World holds the majority of voting rights in the subsidiary that owns DP World Australia.

DP World, through its various subsidiaries, provides marine terminal and port services. DP World categorises its Australian operations into 2 main divisions:

- **ports:** DP World Australia operates container terminals at each of the Relevant Ports, which includes the provision of container stevedoring services. It also operates an empty container park in each of the areas surrounding the Ports of Brisbane, Melbourne and Botany, and
- **logistics:** DP World provides freight forwarding and contract logistics services, which includes warehousing, fulfilment and e-commerce solutions.

DP World Australia also has a business in freight management, with a limited fleet of trucks operating in Melbourne and Sydney.

DP World Australia also has a 50% interest in AWH, which leases warehousing space across Australia and provides logistics services.

DP World Australia also has a 50% interest in a vehicle booking system, OneStop (with Patrick Container Terminals owning the other 50%) that port logistics companies use for the purpose of collecting/delivering containers at several Australian ports.

Relevantly, CDPQ has a minority ownership interest in the APH Consortium, which in turn owns the Port of Brisbane.

Silk

Silk is an ASX listed (ASX:SLH) port-to-door services provider offering warehousing, distribution and port logistics services. It operates 46 facilities across New South Wales, Victoria, Queensland, South Australia and Western Australia.

Silk's operations are categorised into 2 divisions:

- **port logistics:** road transport of containerised freight to and from ports and ancillary services. These ancillary services include fumigation, quarantine inspection, packing, unpacking and containerised bulk and custom bonds stores. Silk's port logistics businesses comprise the Secon, Rocke Brothers and Fremantle Freight & Storage brands, and
- **contract logistics:** business-to-business and business-to-customer solutions nationally, and e-commerce fulfilment services in Victoria.

The Proposed Acquisition

DP World Australia proposes to acquire 100% of ordinary shares in Silk by means of a scheme of arrangement. Pursuant to the Proposed Acquisition, Silk would be removed from the ASX and subsequently be converted into a proprietary company limited by shares.

Attachment B

General

1. Please describe your business or organisation and explain your interest in the Proposed Acquisition, including:
 - a. any commercial relationship(s) with DP World/DP World Australia or Silk,
 - b. the nature of the facilities and services that you supply in competition with, supply to, or acquire from DP World Australia or Silk, and
 - c. the port(s) at which your organisation supplies or acquires services.

Ability and incentive of DP World Australia to discriminate against competitors

The Proposed Acquisition would result in DP World Australia being vertically integrated with Silk's port logistics (also referred to as **landside transport services**) and contract logistics services at each of the Relevant Ports.

The ACCC understands that landside transport users cannot choose which container terminal to use as this is dictated by the relevant shipping line.

2. Please comment on the ability of DP World Australia to operate its container terminals in a way that discriminates against its downstream competitors at each of the Relevant Ports. In particular:
 - a. please comment on the ability of DP World Australia's stevedoring operations to favour its own trucks when they arrive at a DP World Australia container terminal. In your response, please outline any protections that:
 - i. are in place to restrict DP World Australia's ability to give preferential treatment to its associated landside transport services, or
 - ii. ensure a third party obtains access to a DP World Australia container terminal on the same terms as DP World Australia's associated landside transport business (e.g. DP World's National Carrier Access Terms and Conditions), and
 - b. please comment on the extent to which any port-side arrangements or regulation would prevent DP World Australia from foreclosing shipping lines' or landside transport users' access to DP World Australia's container terminals, and
 - c. please describe the impact on competition in the relevant market/s in the event that a merged DP World Australia/Silk engaged in discrimination against rival landside transport users or port logistics businesses.
3. Please comment on the incentive of DP World Australia to operate its container terminals in a way that discriminates against downstream competitors at each of the Relevant Ports, including any preliminary views regarding the profitability of such a strategy given DP World Australia's own port logistics business. In responding, please comment on whether an attempt by DP World Australia to discriminate against rival landside transport or port logistics providers would jeopardise throughput at DP World Australia's container terminals.

4. Please comment on whether past vertical integration of container stevedores with landside transport or port logistics businesses may have enabled or incentivised the container stevedore to discriminate between or foreclose rival landside or port logistics users. For example:
 - a. please discuss whether Qube's 50% interest in Patrick Container Terminals may have enabled Patrick Container Terminals to preference Qube's port logistics business, and
 - b. please comment on the extent to which the Proposed Acquisition raises any competition concerns which may be distinguished from the vertical alignment between Qube and Patrick Container Terminals.

Ability of DP World Australia to bundle services in the container supply chain

5. Please comment on the extent to which the alignment between DP World Australia (which operates container terminals and empty container parks) and Silk's port logistics business would result in DP World Australia having a greater ability and incentive to bundle container stevedoring services with logistic services. In responding, please comment on:
 - a. whether other container stevedores could offer a competitive bundle in response, either through expanding into other parts of the supply chain or partnering with other businesses, and
 - b. what other landside transport or port logistics services can be bundled with stevedoring services, and explain the competitive effect that any bundling would have on the supply of any service in the container supply chain.
6. Please comment on the extent to which DP World Australia would have the ability and incentive to leverage any market power in the supply of empty container park services surrounding the Ports of Melbourne, Botany and/or Brisbane to benefit Silk's port logistics business.

Access to competitively sensitive information

7. Please comment on whether there is commercially sensitive information that may be held by DP World Australia, in its role as a container stevedore, or Silk, in its role as a port logistics provider, that could be used to advantage DP World Australia. In your response, please comment on the types of such information that would be competitively significant.

Potential for coordination among vertically integrated businesses in the container supply chain

8. Please comment on whether the Proposed Acquisition would lead to a higher likelihood of tacit or explicit coordination among container stevedores that are vertically integrated with a port logistics business or a landside transport operator. Explain whether and why any increased coordination would lead to increased prices or decreased service quality in the supply of any services in the container supply chain.

Other information or issues

9. Please comment on whether the Proposed Acquisition would allow DP World Australia to compete more effectively with Patrick Container Terminals (a rival container stevedore that is vertically integrated with Qube (which owns 50% of Patrick Container Terminals)). In your response, please discuss the potential impact this would have on the container supply chain, including the likelihood of decreased prices or increased service quality in the supply of any services in the container supply chain.

10. Please comment on the ability of DP World Australia to materially expand into the supply of port logistics or landside transport services absent the Proposed Acquisition. In responding, please comment on:
- a. whether DP World Australia could organically develop a port logistics business that could achieve a similar scale to Silk, and
 - b. the barriers to supply port logistics or landside transport services.
11. Please provide any additional information, comments or concerns that you consider relevant to the ACCC's consideration of the Proposed Acquisition under section 50 of the Act.